

THE PLAYBOOK

A LOWDOWN ON INVESTMENT STRATEGIES FOR THE FIXED-INCOME SEGMENT

Fixed income product	Rate/return	Risk	Taxability
Debt funds	3-4% annualised (since Jan)	Interest rate and default risk	► If an investor holds for more than three years, LTCG tax (20%) needs to be paid with indexation benefit; taxed as per individual tax slab if redeemed before three years
Fixed deposit	5.45-6.10% (annual)	No interest rate risk	► Interest income taxable based on individual tax slab rates
Corporate bonds	7-13%	High risk in case of low-rated papers	► STCG tax is applicable as per tax slab; if held for over three years, LTCG tax is levied (20%) with indexation benefit; if a bond is held until maturity, the interest income is taxed as per the tax slab and there is no capital gains tax
State bonds	7-8%	Interest and low credit risk	► Same as corporate bonds
Corporate deposit	Up to 7%	Default risk	► Interest income taxable as per individual tax slab rates
RBI floating rate savings bonds	7.15%	No interest and credit risk	► Interest income taxable based on individual tax slab rates
Pradhan Mantri Vaya Vandana Yojana	7.4%	No interest and credit risk	► Pension is taxable as per individual tax slab rate

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(up to 13 per cent) than FDs (5-6 per cent for a tenure of one-three years). “Corporate bonds in the fixed-income category are one of the best options to invest in. Currently... the top performing corporate bonds [are]... Muthoot Fincorp (subdebt) with yield of 10.50 per cent; Indiabulls Housing Finance Limited (unsecured) with yield of 14.25 per cent; and Piramal Capital & Housing Finance Limited (secured) with 11.4 per cent yield,” says Ankit Gupta, Founder of BondsIndia.com.

OTHER OPTIONS

Not just corporate bonds, state bonds are also performing well. “On a 10-year paper, state bonds are offering approximately 7-8 per cent return, which is pretty decent compared to G-secs,” Gupta adds.

Though it is easy to get swayed by the high interest rates, note that

this instrument comes with high credit risk. Hence, while investing in corporate FDs and bonds, one must check the credit quality of the issuer and also diversify the investments uniformly across at least four to five issuers. “Never put all your money in bonds or FDs of a single issuer or companies from a single sector. Given the current macro-economic backdrop, one should invest only in highest rated bonds or FDs, even if it means sacrificing some returns,” says Agarwala.

Then there are other secured options available such as Floating Rate Savings Bonds of the RBI where the return does not vary with the interest rate movement; they are issued by the Indian government. Here investors can purchase the Floating Rate Savings Bonds 2022 with an interest rate of 7.15 per cent—35 bps higher than the rate offered on the National Savings Certificate, and

there is no upper limit on investment. But, there is a lock-in period of seven years and the interest rate is announced in advance every quarter for these bonds.

For senior citizens, there are more options such as Senior Citizens Savings Scheme (SCSS) offering 7.6 per cent and Pradhan Mantri Vaya Vandana Yojana (PMVVY), a retirement scheme. PMVVY pays out a pension at the assured rate of 7.4 per cent. The scheme is for a fixed period of 10 years. One can invest up to ₹15 lakh in the policy for a monthly pension of ₹9,250.

Repo rates have risen significantly since they hit the bottom (4 per cent) in April 2020. By carefully diversifying your fixed income portfolio, you can earn higher returns. But always remember higher returns come with higher risks. **BT**

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